



NCDOR

NORTH
CAROLINA
DEPARTMENT
OF REVENUE

Tax Enforcement Division

*Statewide Enforcement of Motor Fuel Laws

*Sworn Law Enforcement Officers

*On-Road Enforcement:

- IFTA Motor Carriers
- Intrastate Motor Carriers
- Dyed Fuel Inspection/Investigation
- Retail Inspection/Investigation

Roadside & Site Enforcement

The NC Department of Revenue Tax Enforcement Division conducts random inspections of end-users, both roadside and at business and/or job sites.

The Tax Enforcement Division routinely participates in and assists with Special Operations conducted by the NC State Highway Patrol. These operations enlists the help of Local, State and Federal agencies.

Operation "Road WATCH"



OPERATION "PORT CHECK"



Port of Wilmington, NC

Port of Morehead City, NC



Inspecting Trucks Entering the Ports



NC Revenue and NC State Highway Patrol ensuring compliance at North Carolina Ports

“IFTA Blitz” Operations

NCDOR and NCSHP conduct “Blitz” Operations at various Weigh Stations across the State at various times of the year to ensure compliance with IFTA regulations and laws. During these operations, DOR Agents look for violations such as expired fuel decals, qualified vehicles with no decals, failure to carry IFTA licenses, and dyed fuel violations, etc.

Fuel Decals

Fuel decals are required for any single licensed vehicle having three (3) or more axles (regardless of weight) or any licensed vehicle having a registered weight OR actual weight of over 26,000 pounds, single vehicle or combined (trailer, etc.).

§ 105-449.47. Registration of vehicles.

(a) Requirement. – A motor carrier that is subject to the International Fuel Tax Agreement may not operate or cause to be operated in this State a qualified motor vehicle unless both the motor carrier and at least one qualified motor vehicle are registered with the motor carrier's base state jurisdiction. A motor carrier that is not subject to the International Fuel Tax Agreement may not operate or cause to be operated in this State a qualified motor vehicle unless both the motor carrier and at least one qualified motor vehicle are registered with the Secretary for purposes of the tax imposed by this Article. This subsection applies to a motor carrier that operates a recreational vehicle that is considered a qualified motor vehicle.

(a1) Registration and Decal. – When the Secretary registers a motor carrier, the Secretary must issue a registration card for the motor carrier and a set of decals for each qualified motor vehicle the motor carrier registers. A motor carrier must keep records of decals issued to it and must be able to account for all decals it receives from the Secretary. Registrations and decals issued by the Secretary are for a calendar year. All decals issued by the Secretary remain the property of the State. The Secretary may revoke a registration or a decal when a motor carrier fails to comply with this Article or Article 36C or 36D of this Subchapter.

A motor carrier must carry a copy of its registration in each motor vehicle operated by the motor carrier when the vehicle is in this State. A motor vehicle must clearly display one decal on each side of the vehicle at all times. A decal must be affixed to the qualified motor vehicle for which it was issued in the place and manner designated by the authority that issued it.

(b) Exemption. – This section does not apply to the operation of a qualified motor vehicle that is registered in another state and is operated temporarily in this State by a public utility, a governmental or cooperative provider of utility services, or a contractor for one of these entities for the purpose of restoring utility services in an emergency outage.

Fuel Decals are REQUIRED for the following:

- * All vehicles with a “registered weight” OR “actual weight” of over 26,000 lbs.
- * All vehicles with a “combined weight” of over 26,000 lbs (this means a “power unit” with an attached trailer, etc. with the weight of the combined unit weighing over 26,000 lbs.)
- * All vehicles, regardless of weight, with three (3) or more axles.

Note: The exception to these rules/laws is that decals are not required on vehicles owned by any government (city, county, state, federal) entity or operated by any legally recognized subsidiary of a government agency.

IFTA requires motor carriers be licensed in a 'Base State', display IFTA decals, and carry proof of the license in the vehicle.



NORTH CAROLINA DEPARTMENT OF REVENUE
EXCISE TAX DIVISION
P.O. BOX 25000, RALEIGH, NC 27640
(919) 707-7500 TELEPHONE (919) 733-8654 FAX

INTERNATIONAL FUEL TAX AGREEMENT (IFTA) LICENSE
EXPIRES: DECEMBER 31, <<RENEWAL YEAR>>

<<LEGAL NAME>>

<<TRADE NAME>>

<<MAILING ADDRESS LINE>>

<<CITY>> <<STATE>> <<ZIP CODE>>



THIS LICENSE IS ISSUED UNDER THE TERMS OF THE INTERNATIONAL FUEL TAX AGREEMENT AND IS VALID FOR VEHICLES OPERATED BY THE LICENSEE IN ALL IFTA MEMBER JURISDICTIONS.

NCDORID: <<NCDORID>> <<FEIN/SSN>> 1272, NC001

A COPY OF THIS LICENSE MUST BE CARRIED IN EACH QUALIFIED MOTOR VEHICLE

NC statutes require motor carriers operating only in North Carolina be licensed display “In-state” decals, and carry proof of the license in the vehicle.



NORTH CAROLINA DEPARTMENT OF REVENUE
EXCISE TAX DIVISION
P.O. BOX 25000, RALEIGH, NC 27640
(919) 707-7500 TELEPHONE (919) 733-8654 FAX

NORTH CAROLINA INTRASTATE LICENSE
EXPIRES: DECEMBER 31, <<RENEWAL YEAR>>

<<LEGAL NAME>>

<<TRADE NAME>>

<<MAILING ADDRESS LINE>>

<<CITY>> <<STATE>> <<ZIP CODE>>

□

NCDORID: <<NCDORID>>

<<FEIN/SSN>> 1272, NC002

A COPY OF THIS LICENSE MUST BE CARRIED IN EACH QUALIFIED MOTOR VEHICLE

Keep in mind, you **cannot** use fuel decals on your vehicle that were issued to another person or business. Make sure you only use and display decals that were issued to you or your business by NCDOR. Also, if you sell, trade, or otherwise dispose of a qualified vehicle, make sure you remove the decals (document decal number, etc.) and maintain possession of them before you release the vehicle to the buyer. If you buy a vehicle that displays a decal from a previous owners, **do not** operate it thinking it is okay, or that you are covered using the previous owner's decal. Remove it, and apply to get your own decal and license.

§ 105-449.52. Civil penalties applicable to motor carriers.

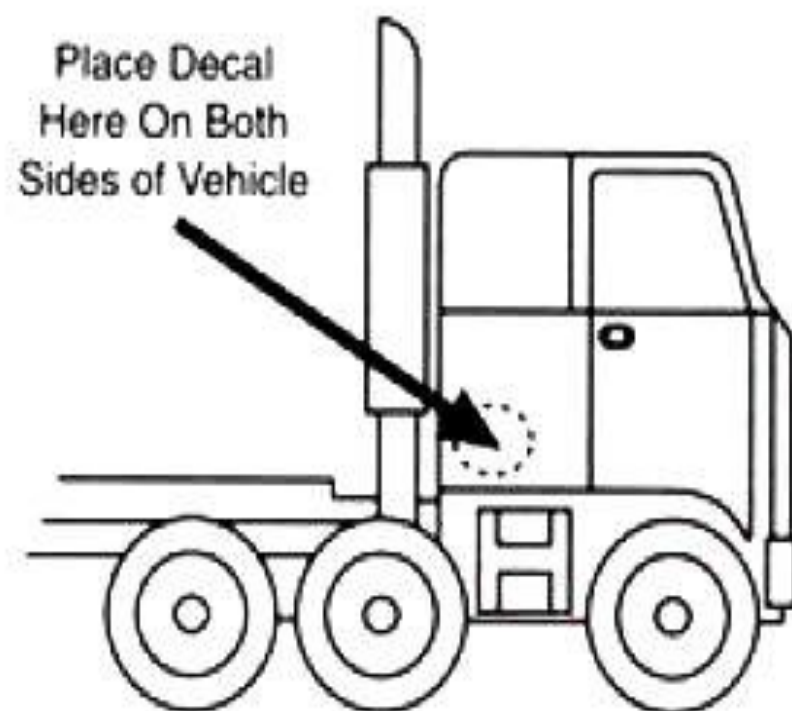
(a) Penalty. - A motor carrier who does any of the following is subject to a civil penalty:

(1) Operates in this State or causes to be operated in this State a qualified motor vehicle that either fails to carry the registration card required by this Article or fails to display a decal in accordance with this Article. The amount of the penalty is one hundred dollars (\$100.00).

(2) Is unable to account for a decal the Secretary issues the motor carrier, as required by G.S. 105-449.47. The amount of the penalty is one hundred dollars (\$100.00) for each decal for which the carrier is unable to account.

(3) Displays a decal on a qualified motor vehicle operated by a motor carrier that was not issued to the carrier by the Secretary under G.S. 105-449.47. The amount of the penalty is one thousand dollars (\$1,000) for each decal unlawfully obtained. Both the licensed motor carrier to whom the Secretary issued the decal and the motor carrier displaying the unlawfully obtained decal are jointly and severally liable for the penalty under this subdivision.

Decal Placement Diagram



Application Instructions

1. Remove prior years' decals.
2. Prepare the area where the decal will be applied by washing with soap and water, cleaning with a petrochemical based solvent cleaner, and wiping with warm water (no soap) and towel dry.
3. Peel decal from paper backing by bending backward at centre and lifting edge.
4. Position decal on surface and rub firmly.

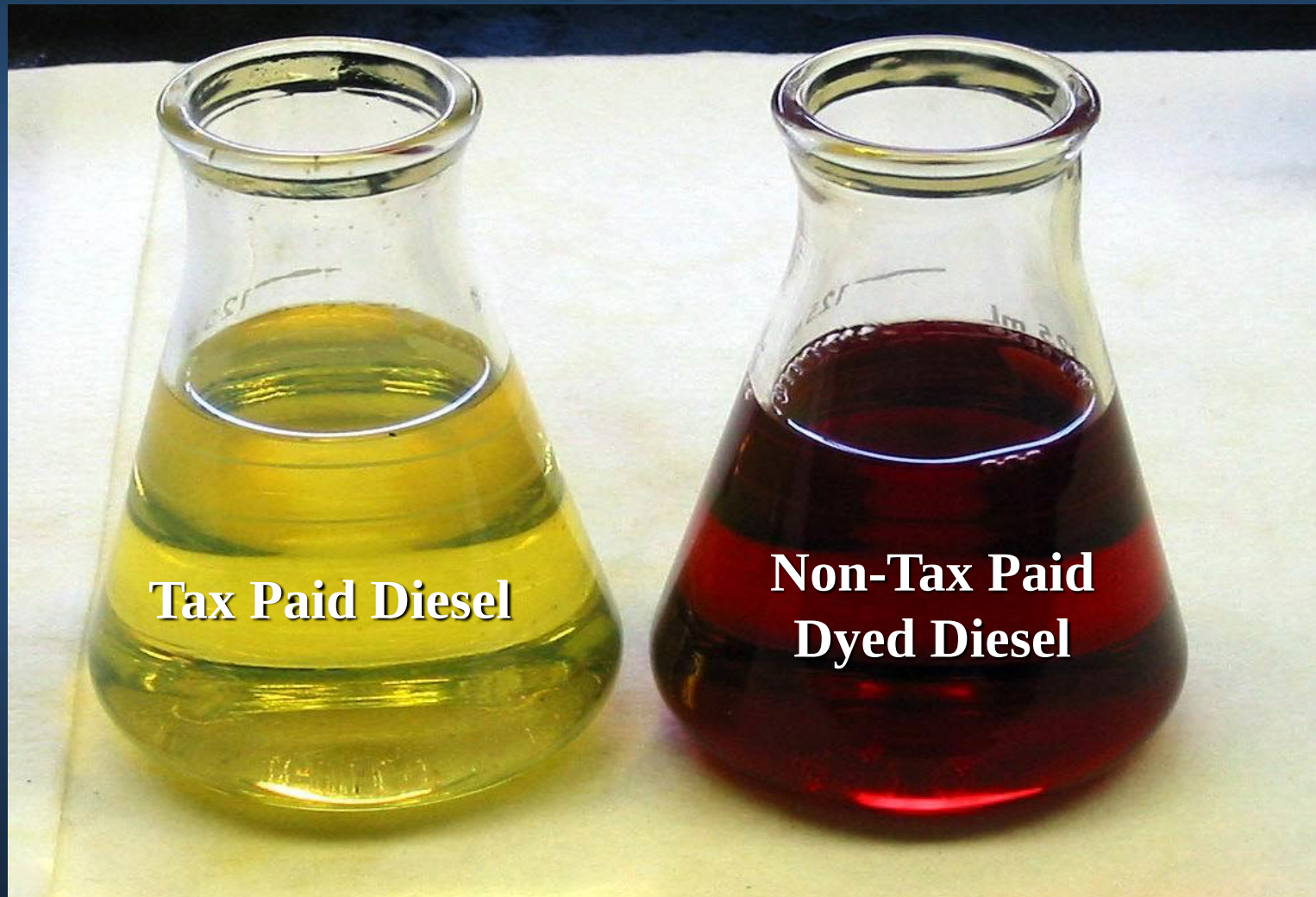
Decal Placement

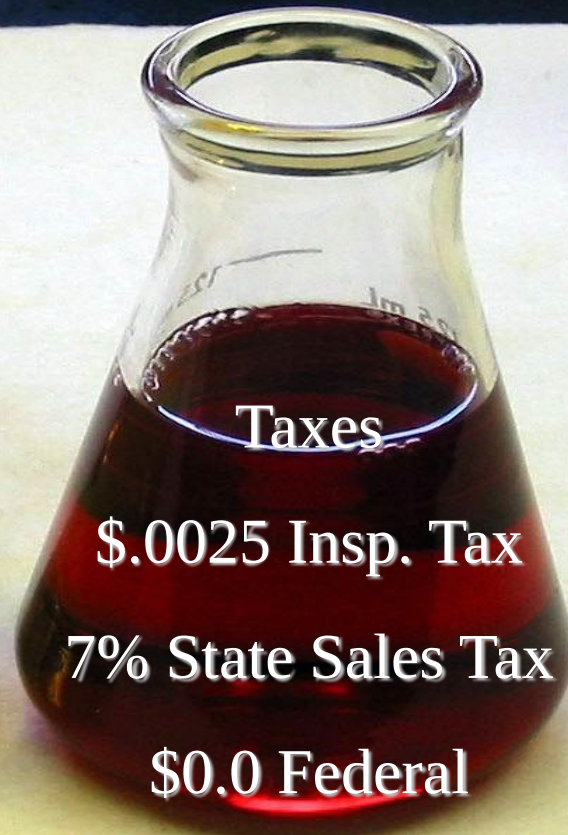
One of the two decals issued for an IFTA vehicle must be placed on the lower, rear exterior portion of the cab's passenger side, and the second matching decal placed on the driver's side of the vehicle in a similar position. Failure to display both decals in the required locations may subject the vehicle operator to the purchase of a trip permit and/or a citation.

If, by some chance, you or your company are issued a penalty for a decal violation, this information will be shared with the Examination Division of NCDOR for possible audit purposes.

Also, if you have been audited by the Examination Division for motor fuel reasons concerning qualified vehicles, and during the course of the audit they find missing or “unaccounted for” fuel decals, they share this information with us (Tax Enforcement) for investigative purposes, and if decals are, in fact, missing, penalties will be issued for each missing decal, resulting in an assessment of \$100 per missing decal.

Tax-paid and Non-tax paid Diesel Fuel





Cost Analysis

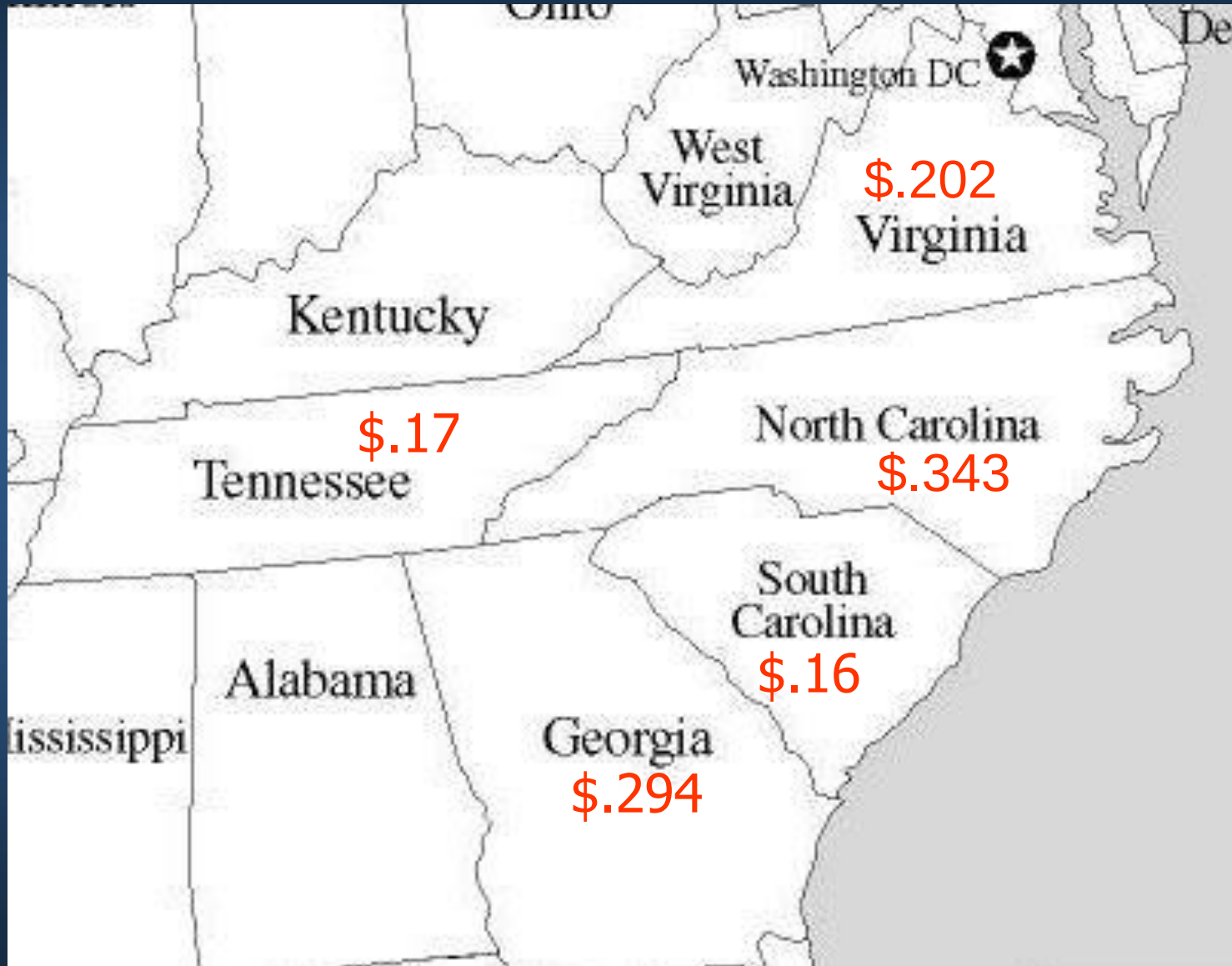
With diesel at a pre-tax price of about \$1.71 + per gallon

Tax Paid (Hwy.)
Fuel Cost is approx.
\$2.30(avg.) per gallon (4-2017)

Evasion Can Cost State and Federal Agencies

58.7¢ Per Gallon in Highway Taxes

Border State Taxes



Differences
per gallon

VA = - 14.1¢

TN = - 17.3¢

GA = - 4.9¢

SC = - 18.3¢

§ 105-449.117. Penalties for highway use of dyed diesel or other non-tax paid fuel.

(a) **Violation.** – **It is unlawful to use dyed diesel fuel or other non-tax paid fuel in a highway vehicle that is licensed or required to be licensed** under Chapter 20 of the General Statutes unless that use is allowed under section 4082 of the Code. It is unlawful to use motor fuel or alternative fuel in a highway vehicle that is licensed or required to be licensed under Chapter 20 of the General Statutes unless the tax imposed by this Article or Article 36D of this Chapter and the tax imposed by Article 3 of Chapter 119 of the General Statutes have been paid. A person who violates this section is guilty of a Class 1 misdemeanor and is liable for a civil penalty.

(b) **Civil Penalty.** – The civil penalty is payable to the agency that assessed the penalty and is payable by the person in whose name the highway vehicle is registered. The amount of the penalty depends on the amount of fuel in the supply tank of the highway vehicle. **The penalty is the greater of one thousand dollars (\$1,000) or five times the amount of motor fuel tax payable on the fuel in the supply tank.** A penalty imposed under this section is in addition to any motor fuel tax assessed.

(c) **Enforcement.** – The Secretary or a person designated by the Secretary may conduct investigations to identify violations of this Article. It is not a valid defense to a violation of this Article that the State is exempt from the tax imposed by this Article. (1995, c. 390, s. 3; 1997-60, s. 19; 2003-349, s. 10.10; 2007-527, s. 16(d); 2008-134, s. 51.)

NOTE: The use of any dyed fuel in a highway vehicle , no matter the quantity, constitutes a violation of the above law. The law makes no distinction on amount used.

§ 105-449.118A. Civil penalty for refusing to allow the taking of a motor fuel sample.

A person who refuses to allow the taking of a motor fuel sample is subject to a civil penalty of one thousand dollars (\$1,000). The penalty is payable to the agency that assessed the penalty. If the refusal is for a sample to be taken from a vehicle, the penalty is payable by the person in whose name the vehicle is registered. If the refusal is for a sample to be taken from any other storage tank or container, the penalty is payable by the owner of the container. (1995 (Reg. Sess., 1996), c. 647, s. 41; 2007-527, s. 16(f).)

§ 20-51. Exempt from registration.

The following shall be exempt from the requirement of registration and certificate of title:

- (1) Any such vehicle driven or moved upon a highway in conformance with the provisions of this Article relating to manufacturers, dealers, or nonresidents.
- (2) Any such vehicle which is driven or moved upon a highway only for the purpose of crossing such highway from one property to another.
- (3) Any implement of husbandry, farm tractor, road construction or maintenance machinery or other vehicle which is not self-propelled that was designed for use in work off the highway and which is operated on the highway for the purpose of going to and from such non-highway projects.
- (4) Any vehicle owned and operated by the government of the United States.
- (5) Farm tractors equipped with rubber tires and trailers or semitrailers when attached thereto and when used by a farmer, his tenant, agent, or employee in transporting his own farm implements, farm supplies, or farm products from place to place on the same farm, from one farm to another, from farm to market, or from market to farm. This exemption shall extend also to any tractor, implement of husbandry, and trailer or semitrailer while on any trip within a radius of 10 miles from the point of loading, provided that the vehicle does not exceed a speed of 35 miles per hour. **This section shall not be construed as granting any exemption to farm tractors, implements of husbandry, and trailers or semitrailers which are operated on a for-hire basis, whether money or some other thing of value is paid or given for the use of such tractors, implements of husbandry, and trailers or semitrailers.**
- (6) Any trailer or semitrailer attached to and drawn by a properly licensed motor vehicle when used by a farmer, his tenant, agent, or employee in transporting unginning cotton, peanuts, soybeans, corn, hay, tobacco, silage, cucumbers, potatoes, all vegetables, fruits, greenhouse and nursery plants and flowers, Christmas trees, livestock, live poultry, animal waste, pesticides, seeds, fertilizers or chemicals purchased or owned by the farmer or tenant for personal use in implementing husbandry, irrigation pipes, loaders, or equipment owned by the farmer or tenant from place to place on the same farm, from one farm to another, from farm to gin, from farm to dryer, or from farm to market, and when not operated on a for-hire basis. The term "transporting" as used herein shall include the actual hauling of said products and all unloaded travel in connection therewith.

- (7) Those small farm trailers known generally as tobacco-handling trailers, tobacco trucks or tobacco trailers when used by a farmer, his tenant, agent or employee, when transporting or otherwise handling tobacco in connection with the pulling, tying or curing thereof.
- (8) Any vehicle which is driven or moved upon a highway only for the purpose of crossing or traveling upon such highway from one side to the other provided the owner or lessee of the vehicle owns the fee or a leasehold in all the land along both sides of the highway at the place or crossing.
- (9) Repealed by Session Laws 2014-114, s. 2, effective July 1, 2015, and applicable to offenses committed on or after that date.
- (10) Devices which are designed for towing private passenger motor vehicles or vehicles not exceeding 5,000 pounds gross weight. These devices are known generally as "tow dollies." A tow dolly is a two-wheeled device without motive power designed for towing disabled motor vehicles and is drawn by a motor vehicle in the same manner as a trailer.
- (11) Devices generally called converter gear or dollies consisting of a tongue attached to either a single or tandem axle upon which is mounted a fifth wheel and which is used to convert a semitrailer to a full trailer for the purpose of being drawn behind a truck tractor and semitrailer.
- (12) Motorized wheelchairs or similar vehicles not exceeding 1,000 pounds gross weight when used for pedestrian purposes by a handicapped person with a mobility impairment as defined in G.S. 20-37.5.
- (13) Any vehicle registered in another state and operated temporarily within this State by a public utility, a governmental or cooperative provider of utility services, or a contractor for one of these entities for the purpose of restoring utility services in an emergency outage.
- (14) Electric personal assistive mobility devices as defined in G.S. 20-4.01(7a).

- (15) Any vehicle that meets all of the following:
- a. Is designed for use in work off the highway.
 - b. Is used for agricultural quarantine programs under the supervision of the Department of Agriculture and Consumer Services.
 - c. Is driven or moved on the highway for the purpose of going to and from non-highway projects.
 - d. Is identified in a manner approved by the Division of Motor Vehicles.
 - e. Is operated by a person who possesses an identification card issued by the Department of Agriculture and Consumer Services.

(16) A vehicle that meets all of the following conditions is exempt from the requirement of registration and certificate of title. **The provisions of G.S. 105-449.117 continue to apply to the vehicle and to the person in whose name the vehicle would be registered.**

- a. Is an agricultural spreader vehicle. An "agricultural spreader vehicle" is a vehicle that is designed for off-highway use on a farm to spread feed, fertilizer, seed, lime, or other agricultural products.
- b. Is driven on the highway only for the purpose of going from the location of its supply source for fertilizer or other products to and from a farm.
- c. Does not exceed a speed of 45 miles per hour.
- d. Does not drive outside a radius of 50 miles from the location of its supply source for fertilizer and other products.
- e. Is driven by a person who has a license appropriate for the class of the vehicle.
- f. Is insured under a motor vehicle liability policy in the amount required under G.S. 20-309.
- g. Displays a valid federal safety inspection decal if the vehicle has a gross vehicle weight rating of at least 10,001 pounds.

(17) A header trailer when transported to or from a dealer, or after a sale or repairs, to the farm or another dealership.

Gator



When used in a "for hire" manner, dyed fuel CANNOT be used legally on the roadway in this type of vehicle, regardless of GS 20-51 and/or licensing requirements.

Prowler



When used in a "for hire" manner, dyed fuel CANNOT be used legally on the roadway in this type of vehicle, regardless of GS 20-51 and/or licensing requirements.

NOTE: If you are found in violation of 105-449.117 (Illegal Use of Dyed Fuel) and a penalty is issued by the Tax Enforcement Division, this information will be shared with the Examination Division of NCDOR to initiate the process of a possible bulk fuel audit, which will cover a period of 3-years from the date of the initial violation.

QUESTIONS?

If you have any further questions, contact the NC Department of Revenue Tax Enforcement Division's Motor Fuel Section at 252-830-2432 or visit the Department's website at <http://www.dornc.com>